International Financial Reporting Standards



Topic 7:
IAS 1 - Presentation of Financial Statements

IFRS

IAS 1 – Presentation of Financial Statements

- Mandatory Readings
  - KTQT2: Chapter 10
  - IFRS Practical Guide: Chapter 3
- Recommended Readings
  - IASB (2012), IAS 1 – Presentation of Financial Statements

IFRS

LEARNING OBJECTIVES

After studying this topic, students should be able to:

- Describe a complete set of financial statements
- Identify general features of financial statements
- Understand following components of financial statements:
  - Statement of financial position (balance sheet)
  - Statement of comprehensive income
  - Statement of change in equity
  - Note to the financial statements

IFRS

Objective of financial reporting

- Provide financial information about the reporting entity that is useful to **existing and potential investors, lenders and other creditors** in making decisions about providing resources to the entity.
  - The information provided about financial performance helps **existing and potential investors, lenders and other creditors** to understand the return the entity has produced on its economic resources.

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Objective of financial reporting

To meet that objective, financial statements provide information about an entity's:

- assets
- liabilities
- equity
- income and expenses, including gains and losses
- contributions by and distributions to owners (in their capacity as owners)
- cash flows.

That information, along with other information in the notes, assists users of financial statements in predicting the entity's future cash flows and, in particular, their timing and certainty.

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Components of financial statements

A complete set of financial statements includes:

- a statement of financial position (balance sheet) at the end of the period
- a statement of comprehensive income (profit or loss and other comprehensive income) for the period
- a statement of changes in equity for the period
- a statement of cash flows for the period
- notes, comprising a summary of significant accounting policies and other explanatory notes
- comparative information prescribed by the standard.

IFRS

General features of financial statements

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- Fair presentation
  - achieved through application of IFRS
  - disclose compliance with IFRS
  - full compliance with IFRS required
  - application before effective date
    - disclose that fact
  - true and fair override
    - only in extremely rare circumstances

IFRS

General features of financial statements

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- Fair presentation
  - In extremely rare circumstances, where compliance with a Standard would be misleading so it would conflict with objective set out in the framework
  - departure is permissible, if regulatory framework requires or does not prohibit
  - Specified disclosure required

IFRS

General features of financial statements

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- Going concern
  - no intention to liquidate or to cease trading => accrual basis of accounting
  - Disclose in case of Material uncertainty
  - If not going concern, use new basis of accounting
- Accrual basis - transactions and events
  - are recognised when they occur, and
  - in the periods to which they relate
- Consistency
  - presentation & classification be retained
    - Unless change in nature of operations necessitates another presentation
    - A standard or an interpretation requires a change

IFRS

General features of financial statements

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- Materiality & aggregation
  - material → present separately
  - immaterial → aggregate with other items
- Offsetting
  - Assets/Liabilities, and Income and expenses shall not be offset unless required or permitted
- Comparative information
  - incl. narrative & descriptive information
  - At least two statements and a third if retrospective application or restatement
- Frequency of reporting
  - At least annually
  - To explain if longer or shorter

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Structure and content of financial statements

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- Identify what is included
- Must display the following
  1. the name of the entity
  2. whether the financial statements are consolidated or not
  3. the date of the balance sheet or period covered
  4. the reporting currency and
  5. the level of rounding (e.g. $000s)

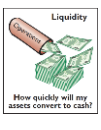
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Statement of financial position

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Usefulness

- Computing rates of return.
- Evaluating the capital structure.
- Assess risk and future cash flows.
- Assess the company's:
  - Liquidity,
  - Solvency, and
  - Financial flexibility.







IFRS LO 1

Statement of financial position

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Elements of the Statement of Financial Position

ASSET | LIABILITY | EQUITY

- Resource controlled by the entity.
- Result of past events.
- Future economic benefits are expected to flow to the entity.

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Statement of financial position

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Elements of the Statement of Financial Position

ASSET | LIABILITY |

- Present obligation of the entity.
- Arising from past events.
- Settlement is expected to result in an outflow of resources embodying economic benefits.

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Statement of financial position

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Elements of the Statement of Financial Position

ASSET | LIABILITY | EQUITY

- Residual interest in the assets of the entity after deducting all its liabilities.

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CLASSIFICATION IN THE STATEMENT

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Subclassifications

Assets	Equity and Liabilities
Non-current assets	Equity
Investments	*Share capital*
Property, plant, and equipment	*Share premium*
Intangible assets	*Retained earnings*
Other assets	*Accumulated other comprehensive income*
Current assets	*Non-controlling interest (Minority interest)*
	Non-current liabilities
	Current liabilities

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Statement of financial position

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- current vs. non-current distinction
- or, classify based on liquidity if more relevant
- obligatory line items on face of B/S
- disclosure required on face or in notes
  - relevant sub-classifications of items above
  - information on share capital and reserves

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Statement of financial position

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- Current vs. non-current Assets
  - Realised/settled in the normal course of operating cycle or within 12 month of the balance sheet date
  - Held primarily for the purpose of being traded
  - Unrestricted cash or a cash equivalent
  - All other assets are non-Current

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Statement of financial position

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- Current Vs. non Current Liabilities
  - Settled in the normal course of operating cycle or due to be settled within 12 month of the balance sheet date
  - Held primarily for the purpose of being traded
  - No unconditional right to defer settlement for at least 12 months
  - post-balance sheet events (refinancing, correction of defaults) do not affect current vs. non-current classification
  - All other Liabilities are non-Current

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Statement of financial position

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As a minimum, **the statement of financial position** shall include line items that present the following amounts:

- (a) property, plant and equipment;
- (b) investment property;
- (c) intangible assets;
- (d) financial assets (excluding amounts shown under (e), (h) and (i));
- (e) investments accounted for using the equity method;
- (f) biological assets;
- (g) inventories;
- (h) trade and other receivables;
- (i) cash and cash equivalents;

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Statement of financial position

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- (j) the total of assets classified as held for sale and assets included in disposal groups classified as held for sale in accordance with IFRS 5
- (k) trade and other payables;
- (l) provisions;
- (m) financial liabilities (excluding amounts shown under (k) and (l));
- (n) liabilities and assets for current tax, as defined in IAS 12
- (o) deferred tax liabilities and deferred tax assets, as defined in IAS 12
- (p) liabilities included in disposal groups classified as held for sale in accordance with IFRS 5
- (q) non-controlling interests, presented within equity; and
- (r) issued capital and reserves attributable to owners of the parent.

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Statement of financial position
Non-current assets

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SCIENTIFIC PRODUCTS, INC.
Statement of Financial Position
December 31, 2015

Assets			
Non-Current Assets			
Long-term investments			
Investments in held-for-collection securities		$ 82,000	
Land held for future development		5,500	$ 87,500
Property, plant, and equipment			
Land		125,000	
Buildings	$975,800		
Less: Accumulated depreciation	341,200	634,600	
Total property, plant, and equipment			759,600
Intangible assets			
Capitalized development costs		6,000	
Goodwill		66,000	
Other identifiable intangible assets		28,000	100,000
Total non-current assets			947,100

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Statement of financial position
Current assets

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SCIENTIFIC PRODUCTS, INC.
Statement of Financial Position
December 31, 2015

Assets			
Intangible assets			
Capitalized development costs		6,000	
Goodwill		66,000	
Other identifiable intangible assets		28,000	100,000
Total non-current assets			947,100
Current Assets			
Inventory		489,713	
Prepaid expenses		16,252	
Accounts receivable	165,824		
Less: Allowance for doubtful accounts	1,850	163,974	
Short-term investments		51,030	
Cash and cash equivalents		52,485	
Total current assets			773,454
Total assets			$1,720,554

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Statement of financial position
Non-current and current liabilities

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SCIENTIFIC PRODUCTS, INC.
Statement of Financial Position
December 31, 2015

Non-current liabilities			
Bond liabilities due January 31, 2024	425,000		
Provisions related to pensions	75,000		
Total non-current liabilities		500,000	
Current liabilities			
Notes payable	80,000		
Accounts payable	197,532		
Interest payable	20,500		
Salaries and wages payable	5,560		
Provisions related to warranties	12,500		
Deposits received from customers	4,380		
Total current liabilities		320,472	
Total liabilities			820,472
Total equity and liabilities			$1,720,554

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Statement of financial position Equity

SCIENTIFIC PRODUCTS, INC.
STATEMENT OF FINANCIAL POSITION
DECEMBER 31, 2015

Equity and Liabilities			
Equity			
Share capital—preference	$300,000		
Share capital—ordinary	400,000		
Share premium—preference	10,000		
Share premium—ordinary	27,500		
Retained earnings	170,482		
Accumulated other comprehensive income (loss)	(8,650)		
Less: Treasury shares	12,750		
Equity attributable to owners		$886,582	
Non-controlling interest		13,500	
Total equity			$ 900,082
Non-current liabilities			
Bond liabilities due January 31, 2024	425,000		
Provisions related to pensions	75,000		
Total non-current liabilities		500,000	

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Statement of comprehensive income

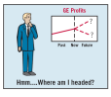
- Usefulness
- Concepts
- Choice in presentation and basic requirements
- Profit or loss
- Other comprehensive income
- Other requirements

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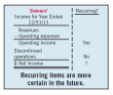
Statement of comprehensive income Usefulness

- Evaluate past performance.





- Predicting future performance.
- Help assess the risk or uncertainty of achieving future cash flows.



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Statement of comprehensive income Concepts

Comprehensive income for the period = Profit or loss + Other comprehensive income

The change in equity during a period resulting from transactions and other events, other than those changes resulting from transactions with owners in their capacity as owners

IFRS

Statement of comprehensive income Concepts

Comprehensive income for the period = Profit or loss + Other comprehensive income

The total of income less expenses, excluding the components of other comprehensive income".

IFRS

Statement of comprehensive income Concepts

Comprehensive income for the period = Profit or loss + Other comprehensive income

Items of income and expense (including reclassification adjustments) that are not recognised in profit or loss as required or permitted by other IFRSs

Other comprehensive income - Examples

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- Changes in revaluation surplus where the revaluation method is used under IAS 16 *Property, Plant and Equipment* and IAS 38 *Intangible Assets*
- Exchange differences from translating functional currencies into presentation currency in accordance with IAS 21 *The Effects of Changes in Foreign Exchange Rates*
- Gains and losses on remeasuring available-for-sale financial assets in accordance with IAS 39 *Financial Instruments: Recognition and Measurement*
- The effective portion of gains and losses on hedging instruments in a cash flow hedge under IAS 39 or IFRS 9 *Financial Instruments*
- Gains and losses on remeasuring an investment in equity instruments where the entity has elected to present them in other comprehensive income in accordance with IFRS 9
- The effects of changes in the credit risk of a financial liability designated as at fair value through profit and loss under IFRS 9.
- Remeasurements of a net defined benefit liability or asset recognised in accordance with IAS 19 *Employee Benefits* (2011)

IFRS

Statement of comprehensive income
Choice in presentation and basic requirements

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- An entity has a choice of presenting:
  - a single statement of profit or loss and other comprehensive income, with profit or loss and other comprehensive income presented in two sections, or
  - two statements:
    - a separate statement of profit or loss
    - a statement of comprehensive income, immediately following the statement of profit or loss and beginning with profit or loss

IFRS

Statement of comprehensive income
Choice in presentation and basic requirements

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One Statement Approach

V. GILL INC.
STATEMENT OF COMPREHENSIVE INCOME
FOR THE YEAR ENDED DECEMBER 31, 2015

Sales revenue	€800,000
Cost of goods sold	600,000
Gross profit	200,000
Operating expenses	90,000
Net income	110,000
Other comprehensive income	
Unrealized holding gain, net of tax	30,000
Comprehensive income	€140,000

IFRS

Statement of comprehensive income
Choice in presentation and basic requirements

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Two Statement Approach

V. GILL INC.
INCOME STATEMENT
FOR THE YEAR ENDED DECEMBER 31, 2015

Sales revenue	€800,000
Cost of goods sold	600,000
Gross profit	200,000
Operating expenses	90,000
Net income	€110,000

V. GILL INC.
COMPREHENSIVE INCOME STATEMENT
FOR THE YEAR ENDED DECEMBER 31, 2015

Net income	€110,000
Other comprehensive income	
Unrealized holding gain, net of tax	30,000
Comprehensive income	€140,000

IFRS

Statement of comprehensive income
Choice in presentation and basic requirements

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- The statement(s) must present:
  - profit or loss
  - other comprehensive income
  - total comprehensive income for the period
  - an allocation of profit or loss and comprehensive income for the period between non-controlling interests and owners of the parent.

Net income	$164,489
Attributable to:	
Shareholders of Boc Hong	$120,000
Non-controlling interest	44,489

IFRS

Statement of comprehensive income
Profit or loss

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- The following minimum line items must be presented:
  - revenue
  - gains and losses from the derecognition of financial assets measured at amortised cost
  - finance costs
  - share of the profit or loss of associates and joint ventures accounted for using the equity method
  - certain gains or losses associated with the reclassification of financial assets
  - tax expense
  - a single amount for the total of discontinued items

IFRS

Statement of comprehensive income
Profit or loss

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BOC HONG COMPANY
INCOME STATEMENT
FOR THE YEAR ENDED DECEMBER 31, 2015

Net sales		$2,972,413
Cost of goods sold		1,982,541
Gross profit		989,872
Selling expenses (see Note D)	$453,028	
Administrative expenses	350,771	803,799
Other income and expense		171,410
Income from operations		357,483
Interest expense		126,060
Income before income tax		231,423
Income tax		66,934
Net income for the year		$ 164,489
Attributable to:		
Shareholders of Boc Hong		$ 120,000
Non-controlling interest		44,489
Earnings per share		$1.74

IFRS

Statement of comprehensive income
Profit or loss

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- Expenses recognised in profit or loss should be analysed either:
  - By nature (raw materials, staffing costs, depreciation, etc.) or
  - By function (cost of sales, selling, administrative, etc). Additional information on the nature of expenses must be provided.

IFRS

Statement of comprehensive income
Profit or loss

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Nature-of-Expense Approach

TELARIS CO.
INCOME STATEMENT
FOR THE MONTH OF JANUARY 2015

Service revenues	€400,000
Staff salaries	145,000
Supplies expense	10,000
Advertising costs	20,000
Utilities expense	5,000
Depreciation on building	12,000
Entertainment expense	3,000
Net income	€205,000

IFRS

Statement of comprehensive income
Profit or loss

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Function-of-Expense Approach

TELARIS CO.
INCOME STATEMENT
FOR THE MONTH OF JANUARY 2015

Service revenues	€400,000
Cost of services	155,000
Selling expenses	23,000
Administrative expenses	17,000
Net income	€205,000

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Statement of comprehensive income
Other comprehensive income

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- The other comprehensive income section is required to present line items which are classified by their nature, and grouped between those items that will or will not be reclassified to profit and loss in subsequent periods.

IFRS

Statement of comprehensive income
Other requirements

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- Additional line items may be needed to fairly present the entity's results of operations
- Items cannot be presented as 'extraordinary items' in the financial statements or in the notes
- Certain items must be disclosed separately either in the statement of comprehensive income or in the notes, if material

IFRS

Statement of change in equity

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- Separate component of financial statements
- On the face
  - (a) Profit or loss for the period
  - (b) gains and losses not reflected in income statement
  - (a)+(b) attributable to each of Minority Interest and equity holders of the parent
- also in statement or in the notes
  - capital transactions with owners
  - movements in accumulated profit
  - movements in capital and reserves

IFRS

Statement of change in equity

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V. GILL INC.
STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED DECEMBER 31, 2015

	Total	Retained Earnings	Accumulated Other Comprehensive Income	Share Capital—Ordinary
Beginning balance	€410,000	€ 50,000	€60,000	€300,000
Net income	110,000	110,000		
Dividends	(10,000)	(10,000)		
Other comprehensive income				
Unrealized holding gain, net of tax	30,000		30,000	
Ending balance	€540,000	€150,000	€90,000	€300,000

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Statement of cash flows

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- Comply with IAS 7 (will be covered in the next topic).

IFRS

Notes to the financial statements

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- basis of preparation of financial statements
- accounting policies selected
- additional disclosure to present fairly
- other sundry disclosures
  - e.g. domicile, legal form, country of incorporation

IFRS

Notes to the Financial Statements

ILLUSTRATION Accounting Policies—Inventory

LG Korea
(KOR)

Inventories
Inventories are stated at the lower of cost or market value, with cost being determined by the moving-average method or the weighted-average method, except for materials-in-transit for which cost is determined by the specific identification method. When the market value of inventories (net realizable value for finished goods or merchandise and current replacement cost for raw materials) is less than the carrying value, the carrying value is stated at the lower of cost or market. The Group applies the lower of cost or market method by group of inventories and loss on inventory valuation is presented as a deduction from inventories and charged to cost of sales. The valuation loss is recorded as cost of sales. If, however, the circumstances which cause the valuation loss cease to exist, causing the market value to rise above the carrying amount, the valuation loss is reversed limited to the original carrying amount before valuation. The reversal is a deduction from cost of sales.

ILLUSTRATION Accounting Policies—Intangible Asset

Stora Enso
(FIN)

Intangible assets are stated at historical cost and are amortized on a straight-line basis over their expected useful lives, which usually vary from 3 to 10 years and up to 20 years for patents.

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Notes to the Financial Statements

Additional Notes to the Financial Statements

IFRS requires specific disclosures. Examples include:

1. Items of property, plant, and equipment are disaggregated into classes such as
   - land,
   - buildings, etc.,
   - in the notes, with related accumulated depreciation reported where applicable.

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